



Qualification Programme Examination Panelist's Report

Module 6 – Financial Accounting (June 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) **Section A – Multiple Choice Questions**

General Comments

Section A consisted of 15 multiple choice questions which assessed the candidates' knowledge in the following topics:

Question 1	HKFRS 9 <i>Financial Instruments</i>
Question 2	HKAS 36 <i>Impairment of Assets</i>
Question 3	HKFRS 5 <i>Non-current Assets Held for Sale and Discontinued Operations</i>
Question 4	HKAS 1 <i>Presentation of Financial Statements</i>
Question 5	HKAS 40 <i>Investment Property</i>
Question 6	HKAS 10 <i>Events after the Reporting Period</i>
Question 7	<i>Hong Kong Small and Medium-sized Entity Financial Reporting Framework</i>
Question 8	HKFRS 13 <i>Fair value Measurement</i>
Question 9	HKFRS 11 <i>Joint Arrangements</i>
Question 10	HKAS 2 <i>Inventories</i>
Question 11	HKFRS 9 <i>Financial Instruments</i>
Question 12	HKFRS 15 <i>Revenue</i>
Question 13	HKAS 12 <i>Income Taxes</i>
Question 14	HKAS 33 <i>Earnings Per Share</i>
Question 15	HKAS 21 <i>The Effects of Changes in Foreign Exchange Rates</i>

Questions 1 to 10 covered relatively simpler concepts or computations and they were worth 1 mark each. Questions 11 to 15 covered more complicated concepts or computations and they were worth 2 marks each.

Specific Comments

Candidates demonstrated weaknesses in the following topics:

HKFRS 9	Subsequent measurement of a financial liability and a financial asset
HKFRS 5	Measurement requirements of HKFRS 5
HKAS 1	Concepts in relation to "materiality"
HKAS 12	Calculation of the tax base of an asset and the recognition of deferred tax asset/liability



(II) Section B – Written Questions

General Comments

The performance in Section B session varied significantly. Some candidates demonstrated sufficient preparation while other candidates did not seem to have prepared for the examination. Some candidates either ignored various aspects of the questions in Part B or wrote very brief answers. Candidates also had difficulty in understanding the mechanics of the transactions and were unable to produce sensible calculations and journal entries.

Specific Comments

Question 1 – 30 marks

Part (a) assessed candidates' knowledge of the three components of "control" in HKFRS 10 *Consolidated Financial Statements*. Candidates demonstrated weak awareness of this topic. It should be noted that simply referring to the ownership percentage should not be used as an assessment of having control in HKFRS 10.

Parts (b) and (c) assessed candidates' ability to prepare consolidated statement of financial position in accordance with HKFRS 10 and to calculate the profit attributable to the non-controlling interest. In this consolidation exercise, candidates were required to deal with a fair value differential adjustment, calculation of goodwill and non-controlling interest using the "partial goodwill" method, an upstream intra-group transfer of an equipment, and dividend elimination. This was a very typical examination question. Candidates' performance was average and quite a number of candidates were able to handle the basic computations such as goodwill and the fair value differential adjustment as at the acquisition date. It was great to see that candidates were able to show their workings in the consolidation adjustment journal entries. However, candidates had difficulty in handling more complicated adjustments, specifically, the allocation of profits to the non-controlling interest, deferred consideration and the intra-group transfer of equipment. A number of candidates showed limited awareness of calculating the unrealised profit involved in the intra-group transfer of equipment as well as limited awareness of how such unrealised profit would be realised through a correction of the depreciation expense.

In general, candidates are strongly advised to understand thoroughly the mechanics of consolidation through the consolidation adjustment journal entries, as it will continue to serve as an important learning (and assessment) area in the Module 6 examination.



Question 2 – 20 marks

Part (a) required candidates to deal with an upward revaluation using the revaluation model in HKAS 16 *Property, Plant and Equipment*. While a number of candidates were able to correctly calculate the revaluation surplus at the date of revaluation, some candidates ignored the company's accounting policy to eliminate the accumulated depreciation against the gross carrying amount of the property at the date of revaluation when preparing the journal entries. Many candidates also ignored the company's accounting policy to transfer the revaluation surplus to retained earnings as the property is used and therefore could not address the accounting issues completely.

Part (b) required candidates to calculate depreciation expense and gain or loss arising from the disposal of a machinery item. This part was quite straightforward and candidates' performance was satisfactory.

Part (c) required candidates to prepare a statement of changes in equity for the company. Here, performance was unsatisfactory as candidates, same as in the June 2023 examination session, either left this part blank or were not aware of the format of such a statement. As highlighted in the previous Examination Panelist's Report, candidates are expected to have the knowledge to prepare financial statements (which include the statement of profit or loss and other comprehensive income, the statement of financial position, the statement of changes in equity, the statement of cash flows as well as disclosure notes) at a company level in the Module 6 examination.

Part (d) required candidates to outline disclosure requirements for property, plant and equipment items in HKAS 16. While some candidates were able to highlight some straightforward disclosure requirements with reference to the information presented, quite a number of candidates left this part blank. As mentioned in the previous paragraph, candidates in Module 6 are expected to demonstrate awareness of how information is disclosed in the notes to the financial statements to form a complete set of financial statements at a company level.



Question 3 – 20 marks

This question assessed candidates' knowledge in the *Conceptual Framework for Financial Reporting*, HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*, as well as HKAS 23 *Borrowing Costs*. The overall performance was poor.

Part (a) required candidates to define liability and provision which was straightforward. Candidates' performance was average.

Part (b) required candidates to apply the recognition criteria of a provision to a restructuring. Many candidates were not aware of the three conditions in recognising a provision in HKAS 37 and therefore could not reach the correct conclusion. Most of the candidates wrongly concluded that a provision should be recognised because the restructuring plan had already been approved by the board, which demonstrated their weakness in understanding what constituted a constructive obligation in HKAS 37.

Part (c) required candidates to define qualifying assets in HKAS 23 as well as describe the recognition criteria of borrowing costs. Candidates were unable to answer this part well as they had limited awareness of the accounting principles in HKAS 23. It should be noted that HKAS 23 has been consistently identified in the previous Examination Panelist's Report as one of the candidates' weak areas. Candidates are advised to understand the accounting treatments of borrowing costs, as HKAS 23 is closely related to various property-related accounting standards which are commonly assessed in Module 6 examinations.

Part (d) extended from part (c) and required candidates to apply the accounting principles in HKAS 23 to a simple scenario for securing a loan to construct a machinery item. While some candidates could compute the interest expense correctly in this case, they were not able to relate it to the requirements in HKAS 23. Candidates were particularly weak in areas such as how to determine the commencement of capitalisation of borrowing costs, as well as how to treat the interest income generated from a specific borrowing.



Question 4 – 10 marks

This question assessed candidates' knowledge in the lessor accounting in accordance with HKFRS 16 *Leases*. Some candidates left this question blank. The performance of candidates who attempted to answer this question was average.

Part (a) required candidates to explain why the lease in question should be classified as a finance lease. The question was straightforward and the performance was satisfactory, as the candidates could relate the assessment to the relevant conditions in HKFRS 16 in classifying a lease from a lessor's perspective.

Part (b) required candidates to calculate the gross and net investment in the lease from the lessor's perspective, which was again straightforward. While some candidates could relate this part to present value calculations, many demonstrated difficulties in distinguishing between the gross investment and net investment in the lease.

(III) Conclusion and Recommendation

The syllabus of Module 6 stems heavily from technical materials and there is no short-cut in preparing for this examination. It should be emphasised that approaching an accounting problem with merely "common sense" will not be able to yield the correct conclusion. Candidates are therefore strongly advised to develop a better understanding of accounting standards that may appear to be straightforward (for example, HKAS 16, HKAS 37, HKAS 40 *Investment Property*, HKAS 38 *Intangible Assets* and HKFRS 15 *Revenue from Contracts with Customers*).

Candidates are expected to explain the rationale of the accounting treatments instead of simply stating the conclusions. The ability to logically explain the accounting treatment of business transactions is key to success in passing the Module 6 examination and bridging to the professional modules. Candidates are advised to always refer to the learning outcomes together with the proficiency level required for each learning outcome of Module 6 examination in order to fully understand the expectations from the Institute.